

PFM 208 Course Outline

PFM 208 — Fiscal Risk

Course Outline

School	02 — Macroeconomics and Public Finance
Level	200 (analyst / practitioner)
Hours	30 (indicative band 24–32)
Shape	5 modules · 10 sessions · 6 laboratories · 4 assignments · 1 final assessment
Delivery	Instructor-led — online, blended or in person
Prerequisites	EDIS 101. MAC 202 is strongly recommended: Part II reads the scenario suite that course produced, including its documented missing credit channel. PFM 204 is assumed for the budget-side exposures, and PFM 207’s rigidity decomposition is this course’s element 5. No modelling is required: the scenarios have already been run, and every laboratory can be done in a spreadsheet.
Assessment	Pass 60 %, with 60 % laboratory competency
Version	1.0 · reviewed 2026-08-24 · 12-month cycle

What this course is

PFM 208 teaches fiscal risk using the Utopia FY2026/27 budget and the FINEX scenario suite as its reference. Like PFM 207 it has no engine of its own: it assembles evidence the estate already produced — six calibrated macro shocks run over 12 years, the Budget module’s published financing and counterpart detail, the quarterly cash plan, PFM 207’s rigidity decomposition and PFM 206’s conversion diagnostics — and reads them together.

It turns on two disciplines. The first is that a standard deviation is not a probability: the six shocks say how UNUSUAL a residual was in the estimation sample, and converting that into a likelihood requires a distributional assumption the model does not make. The course therefore reports magnitude and evidence, and its risk matrix plots evidence rather than likelihood.

Fiscal risk analysis is the discipline of the right-hand column. It does not produce a better budget. It produces a statement of what would have to be true for the budget to hold, and of what would happen if it did not.

Who it is for

Macro-fiscal and debt units in ministries of finance; fiscal risk and contingent-liability teams; budget directorate staff preparing a risk annex; debt management offices; and analysts in central banks and oversight bodies who read fiscal risk statements and need to know what they are and are not being told.

What this course does not claim

This course attaches no probability to any scenario. The shocks are calibrated in standard deviations of an estimated residual, which measures unusualness and not likelihood, and converting one into the other requires a distributional assumption FINEX does not make.

Structure

Module	Title	Sessions	Laboratory	Hours
M1	What a fiscal risk is	01	01	2.7
M2	Macro-fiscal risk	02–04	01	6.1
M3	Budget-side risk	05–07	02	7.1
M4	Structural risk	08	03	3.7
M5	Quantifying and reporting	09–10	04–06	8.4
ASM	Assessment and revision	—	—	2.0
	Total	10	6	30.0

The 10 sessions and 6 laboratories, in teaching order, and the subject matter of each:

M1 What a fiscal risk is — Session 01 · 2.7 h · Laboratory 01

- **01 What a fiscal risk is** — the question a budget answers, and the four it does not; four classes of fiscal risk; exposure, likelihood and realisation; what a budget hides, and more
- *Lab 01 Read the stress test* — establish for yourself what six shocks do to a debt path, and which result you would not quote

M2 Macro-fiscal risk — Sessions 02–04 · 6.1 h · Laboratory 01

- **02 The scenario suite, and how to read a shock** — the scenario suite; reading a shock: standard deviations, not probabilities
- **03 The debt path and its transmission** — the debt path under six shocks; transmission: one shock, four channels; currency composition and exchange-rate exposure; interest expenditure: what the stock costs
- **04 The external shock, and what the model does not have** — the external shock, and what the model does not have; reserves, the current account and the external buffer

M3 Budget-side risk — Sessions 05–07 · 7.1 h · Laboratory 02

- **05 The balance sheet a budget does not show** — the balance sheet a budget does not show; contingent liabilities: what a register would carry; arrears
- *Lab 02 Map the external exposure* — establish who is lending, on what terms, and what cannot be computed as a result

- **06 The unknown financier, and terms that do not exist** — the unknown financier; loan terms that do not exist
- **07 Counterpart, liquidity and execution** — counterpart obligations; liquidity: the cash plan; execution risk, unmeasured

M4 Structural risk — Session 08 · 3.7 h · Laboratory 03

- **08 Structural risk: what could absorb a shock** — rigidity: what could absorb a shock; the unfunded forward call; the wage commitment; deferred maintenance as a risk, and more
- *Lab 03 Test the absorptive capacity* — compute what the budget could actually absorb, and what each scenario would consume

M5 Quantifying and reporting — Sessions 09–10 · 8.4 h · Laboratory 04–06

- **09 The risk matrix and the acquisition programme** — the risk matrix; ranking by size and by evidence
- *Lab 04 Build the risk matrix* — place every risk in this course on one page, by size and by evidence
- *Lab 05 Cost the acquisition programme* — turn the evidence gaps into a ranked work programme with named holders
- **10 Writing a fiscal risk statement** — mitigation and residual risk; the fiscal risk statement, written; ten common errors; reporting a fiscal risk
- *Lab 06 Write the fiscal risk statement* — produce the nine-sentence statement a ministry could publish

What a graduate can do

1. Name the four classes of fiscal risk and the evidence each requires.
2. Distinguish exposure, likelihood, realisation and expected cost, and say which are available.
3. Read a macro-fiscal scenario suite and rank six shocks by their effect on a debt path.
4. Explain why a standard deviation is not a probability, and refuse to convert one into the other.
5. Trace a shock through four transmission channels and identify the two that compound.
6. Identify a model result that is wrong in a known direction, and quote it as a lower bound.
7. Read a debt stock's currency composition and say what each half is exposed to.
8. Identify the balance-sheet exposures a budget document cannot carry.
9. Quantify a financing-concentration exposure from a published budget.
10. Explain what cannot be computed without loan terms, and refuse a portfolio average.

The 16 formal learning outcomes, and the map from each to the assessment that tests it, are in 12_LMS/learning_outcomes.md.

Assessment

Component	Weight	What it is
Knowledge quizzes	15 %	82 items across 10 modules
Laboratory exercises	30 %	6 laboratories, equally weighted, marked on method, interpretation, honesty about limits and communication

Component	Weight	What it is
Applied assignments	25 %	read the stress test; map the external exposure; test the absorptive capacity; the matrix and the acquisition programme
Final assessment	30 %	Three hours, open book: definitions and structure; calculation; interpretation; reporting

Pass 60 % overall and 60 % laboratory competency. Merit 70 %. Distinction 80 %. One resubmission of a single failed component within eight weeks. A laboratory is not complete until every validation check has been recorded with its actual value: an unchecked result is no result.

Materials and set-up

A 87-page technical manual; 10 lecture decks and 6 laboratory decks; a laboratory manual, instructor guide and learner workbook; a 82-item quiz bank, 4 assignments and a final assessment with its marking guide; 8 datasets; 5 code exercises; 5 case studies; and the lms package. The README lists every file.

Every figure in this course is traceable to a published source or a committed model output; the sources are registered in `COURSE_VERSION.json` and the limitations in `COURSE_BUILD_REPORT.md`. Laboratories need only the extracts shipped in `08_Data/`.

PFM 208 Fiscal Risk · version 1.0 · AICTEM EDIS Academy, School 02 Macroeconomics and Public Finance.